



MIDTERM EXAMINATION
Spring 2009
MGT602- Entrepreneurship
Solved vuZs Team
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Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Being one's own boss is a need of:

► **Independence**

- Achievement
- Affiliation
- Authority

Need for independence: Being one's own boss-one of the strongest needs of an entrepreneur.

Question No: 2 (Marks: 1) - Please choose one

With a commercial history of only 300 years, which country was a new comer to the international arena?

- Japan
- U.S
- **China**
- U.K

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a obstacle to going in international business?

- Mergers
- **Trade barriers**
- Rivalry
- Protectionist attitudes

Trade barriers pose problems for entrepreneurs who want to become involved in international business.

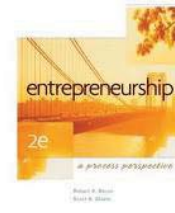
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Question No: 4 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- Existing products and services
- **Distribution channels**
- Federal government

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► Consumers

Distribution Channels: Because they are familiar with the needs of the market, channel members often have suggestions for new products. These channel members can also help in marketing the new product.

Question No: 5 (Marks: 1) - Please choose one

Which of the followings is NOT followed in brainstorming?

► **Criticism is done by the group members**

- The wilder idea is better
- Quantity of ideas is required
- The session should be fun, with no one dominating the discussion

Brainstorming: Withhold criticism: In brainstorming, criticism of ideas generated should be put 'on hold'. Instead, participants should focus on extending or adding to ideas, reserving criticism for a later 'critical stage' of the process. By suspending judgment, participants will feel free to generate unusual ideas.

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Question No: 6 (Marks: 1) - Please choose one

A/an _____ is an online connection between the company and its customers.

- Internet advertising
- **Website**
- E-Commerce
- World Wide Web

Lesson 17

Website: A website is an online connection between the company and its customers and can be developed in-house or outsourced.

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- Idea Stage
- Product Planning Stage
- **Product Development Stage**
- Test Marketing Stage

Product planning and development process: Generally divided into five major stages: idea stage, concept stage, product development stage, test marketing stage, test marketing stage, and commercialization stage.

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Question No: 8 (Marks: 1) - Please choose one

All of the following are essentials to maintain secrecy, EXCEPT:

- Train employees to refer sensitive questions to one person

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► **Discuss business in public places**

- Provide escorts for all office visitors
- Use simple security such as locked file cabinets

To maintain secrecy

1. Train employees to refer sensitive questions to one person.
2. Provide escorts for all office visitors.
3. Avoid discussing business in public places.
4. Use simple security such as locked file cabinets and shredders.

Question No: 9 (Marks: 1) - Please choose one

Licensing is a significant marketing strategy to:

► **Use intellectual property of others**

- Pirate others' patents
- Grow the business in new markets
- Control the costs

Licensing: Contractual agreement giving rights to others to use intellectual property in return for a royalty or fee.

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Question No: 10 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

► **Lack of experience**

- Limited resources
- Lack of education
- None of the given options

Lesson 09

Dissatisfaction with one's job often motivates the launching of a new venture. Previous technical and industry experience is also important once the decision to start a business is made.

Question No: 11 (Marks: 1) - Please choose one

How many perspectives should be considered while preparing business plan?

- One
- **Three**
- Four
- Not specific

Three perspectives need to be considered:

1. entrepreneur
2. marketing perspective
3. investor

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Question No: 12 (Marks: 1) - Please choose one
SBA stands for:

- ▶ Small business accountants
- ▶ **Small business administration**
- ▶ Small business adequacy
- ▶ Small business advisors

Question No: 13 (Marks: 1) - Please choose one
Which one of the following is NOT an environmental factor?

- ▶ Economy
- ▶ Culture
- ▶ Technology
- ▶ **Competition**

Examples of environmental factors are: Economy Culture Technology Legal concerns.

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Question No: 14 (Marks: 1) - Please choose one
Which one of the following guide the firm through the long term decision making?

- ▶ **Mission statement**
- ▶ Product forecast
- ▶ Industry analysis
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one
Which one of the following is NOT included in four C's evaluation by lender?

- ▶ Character
- ▶ Cost
- ▶ **Continuity**
- ▶ Contribution

Lesson 21

Lenders are primarily interested in the ability of the new venture to pay back the debt and focus on the four C's of credit:

1. The entrepreneur's credit history or character.
2. Their ability to meet debt and interest payments (cash flow.)
3. The collateral or tangible assets being secured.
4. Equity contribution or the amount of personal equity that has been invested by the entrepreneur.

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Question No: 16 (Marks: 1) - Please choose one
For which of the following copy right acquisition is desirable?

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- ▶ Songs
- ▶ Poems
- ▶ Models
- ▶ **All of the given options**

A copyright protects original works of authorship.

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Question No: 17 (Marks: 1) - Please choose one

A utility patent has a term of:

- ▶ 10 years
- ▶ 40 years
- ▶ **20 years**
- ▶ 80 years

A utility patent has a term of 17 years, beginning on the date the Patent and Trademark Office (PTO) issues it. NAFTA (North American Free Trade Agreement) establishes a minimum period of 20 years from the date of filing or 17 years from the date of the grant.

Question No: 18 (Marks: 1) - Please choose one

Which of the following body issues patents?

- ▶ GATT
- ▶ NAFTA
- ▶ FTA
- ▶ **PTO**

A utility patent has a term of 17 years, beginning on the date the Patent and Trademark Office (PTO) issues it.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is a idea generation method that focuses on parameters?

- ▶ Brainstorming
- ▶ Reverse brainstorming
- ▶ **Creative problem solving**
- ▶ Synectics

Creative problem solving is a method for obtaining new ideas focusing on the parameters.

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Question No: 20 (Marks: 1) - Please choose one

Developing a new idea through inquiry and testing is called:

- ▶ Heuristics
- ▶ Forced relationship

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► **Scientific method**

- Value analysis

Question No: 21 (Marks: 1) - Please choose one

Trade barriers cause:

► **Increase in cost**

- Decrease in cost
► Increase in profit
► None of the given options

Trade barriers increase the costs of exporting projects to a country.

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Question No: 22 (Marks: 1) - Please choose one

Having less than 50 percent of equity share in an international venture is called:

► **Minority interest**

- Joint venture
► Majority interest
► Exporting

Minority interest: Having less than 50 percent ownership position

Question No: 23 (Marks: 1) - Please choose one

Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

- Joint venture
► **Majority interest**
► Horizontal merger
► Diversified activity merger

Lesson 12

Majority interest: Another equity method is to purchase a majority interest in a foreign business. The majority interest allows the entrepreneur to obtain managerial control while maintaining the company's local identity. In technical sense anything over 50% of the equity of the firm is majority interest.

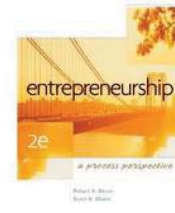
Question No: 24 (Marks: 1) - Please choose one

Which of the following is a method of selling goods to another country by taking care of transactions?

- Indirect exporting
► **Direct exporting**
► Importing
► Management contract

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Question No: 25 (Marks: 1) - Please choose one

Which of the following two work environments should be good for spawning the new enterprises?

- ▶ Finance and marketing
- ▶ Finance and R&D
- ▶ **Marketing and R&D**
- ▶ Marketing and IT

The company's sales, marketing, and R&D organizations have built and managed dynamic collaborative communities that increase cross-team collaboration; reduce email traffic; and spawn new innovation in products, services, and marketing campaigns.

Question No: 26 (Marks: 1) - Please choose one

Gazelles are the firms with:

- ▶ **High growth rate**
- ▶ Moderate growth rate
- ▶ Zero growth rate
- ▶ Low growth rate

Question No: 27 (Marks: 1) - Please choose one

Which of the following are the Fast-growth young companies?

- ▶ **Gazelles**
- ▶ Life style
- ▶ Foundation Company
- ▶ None of the given options

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Question No: 28 (Marks: 1) - Please choose one

Which one of the following is used to identify opportunity?

- ▶ Input from customers
- ▶ Input from channel members
- ▶ Input from business associates
- ▶ **All of the given options**

Question No: 29 (Marks: 1) - Please choose one

In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under which of the following type of environment?

- ▶ Economic
- ▶ Political
- ▶ **Cultural**

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► Technological

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Question No: 30 (Marks: 1) - Please choose one

Which of the following factor has allowed small companies to act like they are big ones?

► **Technology**

- Customers
- Economic development
- Competition

Technology has allowed small companies to act like they are big ones.

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Question No: 31 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- Entrepreneurship
- **Intrapreneurship**

- Act of stating a new venture
- Offering new products by an existing company

Intrapreneurship, also called corporate venturing, is not without problems.

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is not the intrapreneurial leadership characteristic?

- Understands environment
- Encourage the team work
- **Not flexible**
- Persistent

There are certain individual characteristics needed for a person to be successful Entrepreneurs, including:

1. Understanding the environment
2. Being visionary and flexible
3. Creating management options
4. Encourage teamwork while employing a multi-disciplined approach
5. Encouraging open discussion
6. Building a coalition of supporters, and persisting

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Question No: 33 (Marks: 1) - Please choose one

Which of the following system is necessary for expansion or elimination of intrapreneurial units?

- **Management**
- Evaluation

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- ▶ Reward
- ▶ Training

This expansion is attained through the infusion of the intrapreneurial management strategy

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Question No: 34 (Marks: 1) - Please choose one

Which of the following typical culture has a climate and reward system that favors conservative decision making?

- ▶ Entrepreneurial
- ▶ Intrapreneurial
- ▶ **Corporate**
- ▶ None of the given options

The typical corporate culture has a climate and reward system that favors conservative decision making.

Question No: 35 (Marks: 1) - Please choose one

Which of the following makes the formation of new venture difficult within a corporate culture?

- ▶ Lack of intrapreneurial talent
- ▶ Lack of freedom to make autonomous decisions
- ▶ Lack of market opportunity
- ▶ **All of the given options**

Question No: 36 (Marks: 1) - Please choose one

Which of the following are known as barriers to new product creation and development?

- ▶ Trial and error
- ▶ **Opportunity parameters**
- ▶ Opportunity cost
- ▶ Intrapreneurship culture

Opportunity parameters: Barriers to new product creation and development .

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Question No: 37 (Marks: 1) - Please choose one

Which of the following factor does not affect a person for being an entrepreneur?

- ▶ Family background
- ▶ Education
- ▶ Personal values
- ▶ **Gender**

Question No: 38 (Marks: 1) - Please choose one

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Degree of influence and control on other people is called:

► **Locus of control**

- Locomotion of control
- Locust of control
- Loss of control

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Question No: 39 (Marks: 1) - Please choose one

Which of the following plan describes market conditions and strategy related to products?

- Production plan
- Operational plan
- Financial plan
- **Marketing plan**

Marketing Plan: The marketing plan describes how the products will be distributed, priced, and promoted. Potential investors regard the marketing plan as critical to the venture's success.

Question No: 40 (Marks: 1) - Please choose one

Individuals who give psychological support to an entrepreneur are called:

- Role models
- **Moral support networks**
- Professional support networks
- Informal networks

Moral-support network: Individuals who give psychological support to an entrepreneur.

Question No: 41 (Marks: 10)

In the given situations what types of merger is suitable for each situation and why?

- McDonald's with KFC
- One steel mill with another steel mill
- ABN AMRO with Royal bank of Scotland
- Steel mill with a fertilizer producing firm
- An oil cooking producing company with Desi Ghee producing company

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